CITY OF PLEASANTON MEASURE HH

HH Shall a measure be adopted to increase the City's Uniform Transient Occupancy Tax paid by hotel guests from 8% to 10% on July 1, 2027, and to 12% on July 1, 2028, generating an estimated $1.4 to $2.8 million per year in additional revenue, that can be used to maintain city services, such as: police and fire protection; park and street maintenance; recreation programs; and other general government uses, until ended by voters?

YES
NO

CITY ATTORNEY'S IMPARTIAL ANALYSIS OF MEASURE HH

Measure HH seeks voter approval to increase the rate of the City of Pleasanton's existing Uniform Transient Occupancy Tax ("TOT"). If approved, Measure HH would adopt an ordinance to increase the rate of the City's TOT from 8% to 10% on July 1, 2027, and to 12% on July 1, 2028, until ended or changed by voters. The TOT is paid only by guests who occupy hotels, motels, and other short-term lodgings within Pleasanton for thirty consecutive calendar days or less. The TOT is collected and remitted to the City by operators of such lodgings.

The proposed measure is a general tax, which means the City can spend the tax revenue on general municipal services, such as: police and fire protection; park and street maintenance; recreation programs; and other general government uses. The City estimates that this Measure will generate approximately $1.4 in the first year, and approximately $2.8 million per year thereafter in new local revenue.

Measure HH was placed on the ballot by the Pleasanton City Council and must be approved by a majority of voters to become law. A "yes" vote on Measure HH favors enacting the proposed ordinance that would increase the City's TOT rate to 10% on July 1, 2027, and to 12% on July 1, 2028. A "no" vote on Measure HH opposes the proposed ordinance and would maintain the City's TOT rate at the existing 8%.

s/DANIEL G. SODERGREN
Pleasanton City Attorney

The above statement is an impartial analysis of Measure HH. If you desire a complete copy of the TOT Ordinance, please call the City Clerk at (925) 931-5027 and a copy will be mailed at no cost to you. The full text of Measure HH is available on the City's website at: https://www.cityofpleasantonca.gov/our-government/elections-measures/measures/

ARGUMENT IN FAVOR OF MEASURE HH

Vote YES to protect the high-quality city services that make Pleasanton a great place to live, work, and visit.

Based on the City of Pleasanton's 10-year financial forecast, annual General Fund operating deficits will range from $4.4 to 8.3 million, with the most significant fiscal impact occurring during the first five years of the forecast. Generating sufficient revenue to ensure Pleasanton's sustainability allows the City to continue providing programs and services that benefit all residents. This measure complements the spending reductions and operational efficiencies the City has already implemented.

Unlike a sales tax or parcel tax, the Transient Occupancy Tax (TOT) is paid primarily by visitors staying in hotels and short-term lodging, rather than by Pleasanton residents or property owners. General Fund revenue generated by this measure would support city services such as public safety, parks and recreation, infrastructure maintenance, and community programs that residents rely on every day.

Pleasanton's TOT rate of 8% was established in 1983 and has not been adjusted since then, while 10 of the 14 cities in Alameda County levy hotel taxes between 10% and 14%. At the 12% rate, Pleasanton would remain at or below most Alameda County jurisdictions.

If approved, the measure would increase Pleasanton's TOT rate from 8% to 10% effective July 1, 2027, and from 10% to 12% effective July 1, 2028. The measure would generate approximately $1.4 million in additional revenue in its first year and $2.8 million annually in additional revenue starting in the second year. This phased implementation allows hotels and visitors to adjust gradually.

A YES vote is a practical, balanced approach that helps ensure Pleasanton's long-term financial sustainability while asking visitors—not residents—to contribute more toward the services they use during their stay.

s/JACK BALCH
Mayor, City of Pleasanton

s/MATT GAIDOS
Vice Mayor, City of Pleasanton

s/JULIE TESTA
Council Member, City of Pleasanton

s/JEFF NIBERT
Council Member, City of Pleasanton

s/CRAIG EICHER
Council Member, City of Pleasanton

REBUTTAL TO ARGUMENT IN FAVOR OF MEASURE HH

Vote NO on Measure HH. Stop Pleasanton's new "Bed Tax."

Living and doing business in Pleasanton is already expensive. Measure HH makes it more expensive.

Measure HH raises Pleasanton's hotel tax from 8% to 12% — a 50% increase in the tax rate — with no automatic expiration date.

City Hall says "visitors" pay this tax. But those visitors are our parents, children, friends, wedding guests, customers and business travelers. Their spending supports Pleasanton businesses, and higher hotel costs make Pleasanton less competitive with neighboring communities.

Pleasanton hotels are already facing higher insurance, utility and labor costs. Hotel guests also pay an additional $4-per-night tourism assessment on occupied rooms. This is not the time to pile on another tax increase.

Most importantly, Measure HH is a general tax. Not one penny is legally required to be spent on police, fire, parks, streets or other services highlighted by its supporters. City Hall can spend the money on any lawful government purpose.

Meanwhile, Visit Tri-Valley is exploring public funding for a proposed $365 million sports and entertainment arena in Dublin, potentially involving additional hotel, restaurant and tax revenues from throughout the Tri-Valley.

Before asking visitors, families and businesses to pay more, City Hall should demonstrate better priorities and accountability with the money it already receives.

A 50% tax increase. No sunset. No guaranteed use for the services being advertised.

Vote NO on Measure HH.

s/KELLY MONTGOMERY CEGLIO

s/GLENN T. MELANSON

ARGUMENT AGAINST MEASURE HH

Vote No on this new tax.

Pleasanton voters should understand just how damaging and flawed this measure is before casting their ballots. Pleasanton's hotel tax rate is currently lower than surrounding cities—a distinct advantage that keeps our local business climate competitive, supports local commerce, and encourages visitors to stay and spend money in our community. Imposing a steep new tax on visitors threatens that economic advantage and harms local hospitality businesses.

The proposal increases the Transient Occupancy Tax from 8% to 10% in 2027, and to 12% in 2028—a massive 50% rate hike. While the ballot question highlights popular services like police, fire, and parks, the official text only states that additional revenue "CAN BE USED" for general government uses. Because this is an unrestricted general tax, money goes straight into the General Fund. The City can spend those dollars on anything it chooses—including rising pension costs and bureaucratic expansion—with no legal guarantee that a single dollar goes toward public safety or infrastructure maintenance.

Vote No on this new tax.

Crucially, the measure contains no expiration date—making this a FOREVER TAX. The elevated 12% rate would remain in effect permanently until ended by voters. If citizens ever want to cancel it, residents would have to bear the heavy financial and organizational cost of conducting a CITIZEN'S INITIATIVE and collecting thousands of signatures just to end it.

Having a lower hotel tax benefits Pleasanton businesses. Before handing the City an unrestricted tax increase with no sunset clause, residents should demand real operational efficiencies first.

Vote No on this new tax.

s/KELLY M. CEGLIO

REBUTTAL TO ARGUMENT AGAINST MEASURE HH

A YES vote will help keep Pleasanton's finances secure, maintaining the services and programs we rely on to protect our quality of life.

In the last two years, Pleasanton has reduced spending, made operations more efficient, and attracted businesses to generate revenue. Yet, Pleasanton still faces a structural budget deficit and needs new, recurring revenue to maintain the programs and services that benefit all residents.

The Transient Occupancy Tax (TOT) is paid by visitors staying in hotels and short-term lodging, not residents or property owners. Studies also show that moderate increases to hotel tax do NOT cause measurable changes in hotel occupancy, revenue, average daily room rate, or hotel employment. The current tax rate – one of the lowest in the area -- was established more than 40 years ago and it hasn't been updated since. Low taxes are good. However, the beneficiaries of this lower tax rate are visitors – not Pleasanton residents.

Hotel tax increases generally have a negligible impact on hotel activity, according to recent academic studies and research done by other Bay Area cities. Pleasanton's rate will remain at or below most neighboring cities, keeping our business climate and hospitality businesses competitive.

Measure HH will generate $1.4 million in new revenue in its first year and $2.8 million annually starting in the second year. This General Fund revenue will support city services such as public safety, parks and recreation, infrastructure maintenance, and community programs.

Vote YES on Measure HH to protect the quality-of-life Pleasanton residents expect and deserve.

s/JACK BALCH
Mayor

s/MATT GAIDOS
Vice Mayor

s/JULIE TESTA
Council Member

s/JEFF NIBERT
Council Member

s/CRAIG EICHER
Council Member